

ISYS90045 Professional IS Consulting

Seminar 6* Preparing Proposals – Negotiation Skills

Dr Marc Cheong

(Based on contributions by Dr Rod Dilnutt;
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Dr Piya Shedden; Chris Waddell; et al)

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ISYS90045 – Ed Discussion

Semester 1

Assignment AT1 (A01a + A01b) Queries #9

**Marc Cheong** STAFF
Last month in [Assignments – AT1](#)

 UNPIN  STAR  WATCHING 280 VIEWS

♥ Please post all general questions related to the assignment here.

Please structure your thread title with the question you are asking so that your peers can easily search for and read up on previously-issued advice.

That way we are not posting the same answers multiple times.

If you are looking for another student to work with please [use the other thread](#).

[Comment](#) [Edit](#) [Delete](#) [Endorse](#) ...



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Weighting:

Assignment 01 contributes **20%** towards your overall mark for the subject.

The **written report** is worth **15%**

The **pairs class presentation** is worth **5%** ([refer to Assignment A01a](#))

Each student will be marked individually for the presentation (a mark out of 5)

Submission Due: Friday 17 April at 11:59pm

Content Timeline

W5: AT1 Presentations
Giving Advice (Activities)

Easter Break

**W6:
Negotiations!**

W7:
Reports and Workshops

W6 Learning Objectives

- Understand the **importance** of negotiation in consulting
- **Define** what negotiation is
- Explore the role of **trust** in negotiation
- Understand fundamental negotiation **skills**

Agenda: Negotiations

negotiation | ˌniːɡəʊʃɪˈeɪʃn |

noun [mass noun]

1 (also negotiations) discussion aimed at reaching an agreement: *a worldwide ban is currently **under negotiation** | **negotiations** between unions and employers.*

2 the action or process of transferring legal ownership of a document.

ORIGIN

late 15th century (denoting an act of dealing with another person): from Latin *negotiatio(n)-*, from the verb *negotiari* (see [negotiate](#)).

Define a negotiation

Understand styles of negotiation

Case studies of negotiations

Exercises using negotiation styles: “The Game of Bluff”

Negotiations gone wrong

Image source: Apple Dictionary.app

Negotiations and the Engagement Lifecycle

We are here:
what is incl./excl. from contract,
T&Cs, price, scope, timelines,
responsibility...



Rod's anecdote: in reality... it's everywhere!
Scope? Resources? Timelines? Milestones? Change requests? Scope creep?
With the client? With your own team?

▶ Exercise: What is Negotiation?



Negotiations: What, Why

What is a negotiation?

- Negotiation is a **deliberative process** between **two or more actors** that seek a **solution to a common issue** or who are bartering over an **item of value**.
 - Each has own wants/needs/interests/constraints...
 -  **Exercise: Best outcome?**
- Negotiation skills include the range of negotiation techniques negotiators employ to create value and claim value in their business negotiations and beyond

Why do we need to negotiate?

- Negotiation skills can help you make deals, solve problems, manage conflicts, and build relationships as well as preserve relationships
- To make deals:      ...

▶ Exercise: Style?



**Why is this style
problematic for
consultants?**

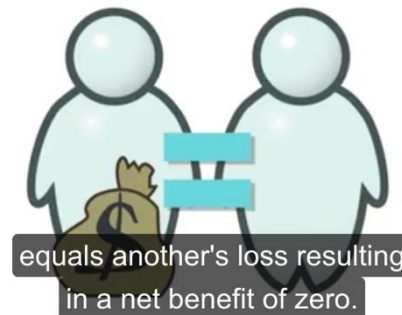
Zero-Sum Game Definition in Finance, With Examples

By THE INVESTOPEDIA TEAM Updated July 03, 2025

Reviewed by GORDON SCOTT

Fact checked by YARILET PEREZ

1.00



 INVESTOPEDIA

Image source: Wikipedia/NBC; Investopedia (Scott and Perez, 2025)

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Exercise: Trust?

Why is trust important? How do you demonstrate trust?

Does saying “NO” or “let’s agree to disagree” erode trust?

What happens if you overpromise and underdeliver?



Negotiations: How

Negotiations can be **characterised** by:

- A) Positive discussions aimed at reaching an agreement for both parties 👍
- B) An awkward dance between 2 parties that don't really trust each other 👎

How might we go about this?

- To be a successful in negotiations, you must decide in advance your “bottom line” or “minimum price you will accept” or “maximum amount you are prepared to pay”
 - i.e., **Floors and Ceilings**
- Be reasonable
 - When would you say: “**We cannot do it for _____; if things change, please contact us.**”? Why?



Exercise: How much do we need?

ISYS90045 Professional IS Consulting - Budget Tool 20210823 (1).xlsx

Download Info Close

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Team Member	Role	Hourly Rate	Phase: Daily Rate	1	1	1	1	2	2	2	2	Weekly Breakdown			
				30-Aug	6-Sep	13-Sep	20-Sep	27-Sep	4-Oct	11-Oct	18-Oct	25-Oct	1-Nov	8-Nov	
Katrina Marks	Partner	\$ 800.00	\$ 6,400.00	0.25											
Vic Karanberg	Director	\$ 500.00	\$ 4,000.00												
Yeun Pan	Manager	\$ 350.00	\$ 2,800.00												
Angela Chan	Senior Con	\$ 200.00	\$ 1,600.00	5	5	5	5	5	5	5	5	5	5	5	
Amanda Wilson	Consultant	\$ 100.00	\$ 800.00	5	5	5	5	5	5	5	5	5	5	5	
James Blundell	Consultant	\$ 100.00	\$ 800.00												
				\$ 13,600.00	\$ 12,000.00	\$ 13,600.00	\$ 12,000.00	\$ 13,600.00	\$ 12,000.00	\$ 13,600.00	\$ 12,000.00	\$ 13,600.00	\$ 12,000.00	\$ 13,600.00	
Engagement Fees:		\$	231,360.00												

Negotiations: When

When? Situations that may require some degree of negotiation

- Win/win
- Win/lose
- Lose/lose



Image source: Unsplash/andreilasc

Negotiations: “Lose/Lose” Example?



FINANCIAL REVIEW

Home Companies Markets Street Talk Politics Policy World Property Technology Opinion Wealth Work & Careers Life & Luxury

Companies Media & Marketing Radio Print article

'Calculated to offend': Inside the bitter Kyle and Jackie O legal war

 **Sam Buckingham-Jones**
Media, marketing and telecommunications reporter

Apr 1, 2026 - 3:33pm

 Listen to this article
7 min

Kiis FM owner ARN Media accused its former top shock jock Kyle Sandilands of deliberately abusing his co-host Jackie "O" Henderson in a way that was "calculated to offend and distress her", and used this as justification to sack him.

An explosive trove of almost 300 documents submitted to court by Sandilands' lawyers, obtained by *The Australian Financial Review*, reveals the high-stakes legal manoeuvring taking place behind the scenes of what has become a very public media scandal.

RELATED QUOTES

A1N \$0.255 0.00

1 year 1 day



Apr 23rd 25 Oct 25 Apr 26

Updated: Apr 2, 2026 - 12:33pm. Data is 20 mins delayed.

[View A1N related articles](#) →

Buckingham-Jones (2026). 'Calculated to offend': Inside the bitter Kyle and Jackie O legal war. Australian Financial Review.
<https://www.afr.com/companies/media-and-marketing/calculated-to-offend-inside-the-bitter-kyle-and-jackie-o-legal-war-20260401-p5zkly>

FINANCIAL REVIEW

Excerpts from legal letters between Kyle Sandilands and ARN Media

Dear Kyle
Private and Confidential
Notification of Breach and Direction to Remedy



HERBERT SMITH
FREEHILLS
KRAMER
March 3, 2026

We are instructed that during the 20 February 2026 show, you made abusive, humiliating, and belittling comments to, and about, Ms Henderson while on-air. This included attacks on Ms Henderson's personal character, work ethic, and job performance, and accused her of having lost touch with reality ...

These comments were intended seriously and were not said in jest. They manifested hostility towards Ms Henderson and were calculated to offend and distress her. You also invited team members to engage in personal criticism of Ms Henderson.

You persisted with this conduct despite Ms Henderson being visibly distressed and embarrassed.

Dear Colleagues
Quasar Media Services Pty Ltd and Kyle Sandilands
Commonwealth Broadcasting Corporation Pty Ltd
and Australian Radio Network Pty Ltd
Purported Notification of Breach and Direction to Remedy

JOHNSON | WINTER | SLATTERY
March 17, 2026

The exchange on 20 February 2026 was one which was within the bounds of the program CBC procured the Presenter and Ms Henderson to present. It was precisely the kind of exchange which featured regularly during the presentation of the Kyle & Jackie O show and which CBC encouraged, condoned and commercially exploited.

SOURCE: COURT DOCUMENTS

Negotiations: When

Achieving Best And Final Offer “BAFO”

- These are the prices and the terms that determine the consulting assignment
- Common in informal/formal tenders and EOIs...

Salaries

- Your own
- Do you use an outside offer to gain a salary increase?

Fisher & Ury on “Getting to Yes” (Video 1)



Fisher, R., Ury, W., & Patton, B. (2015). Getting to Yes: Interests vs. Positions. Breveo/YouTube. <https://www.youtube.com/watch?v=MujyDRgONIs>

Exercise: The Job Negotiation.

- You are looking for a new role as Engagement Manager for Community Relations in a tech company, as you are already in a tech company but finding the coding work a bit repetitive.
- You've heard on the grapevine that your current company may be setting up this type of role – in another city (Sydney)!
- In the meantime, you ran into an old family friend that is setting up this type of role in their tech company – in the same city (Melbourne).
- It turns out **you're offered both roles** ... but neither know about the other offer...
 - How do you negotiate?
 - What issues do you negotiate about?

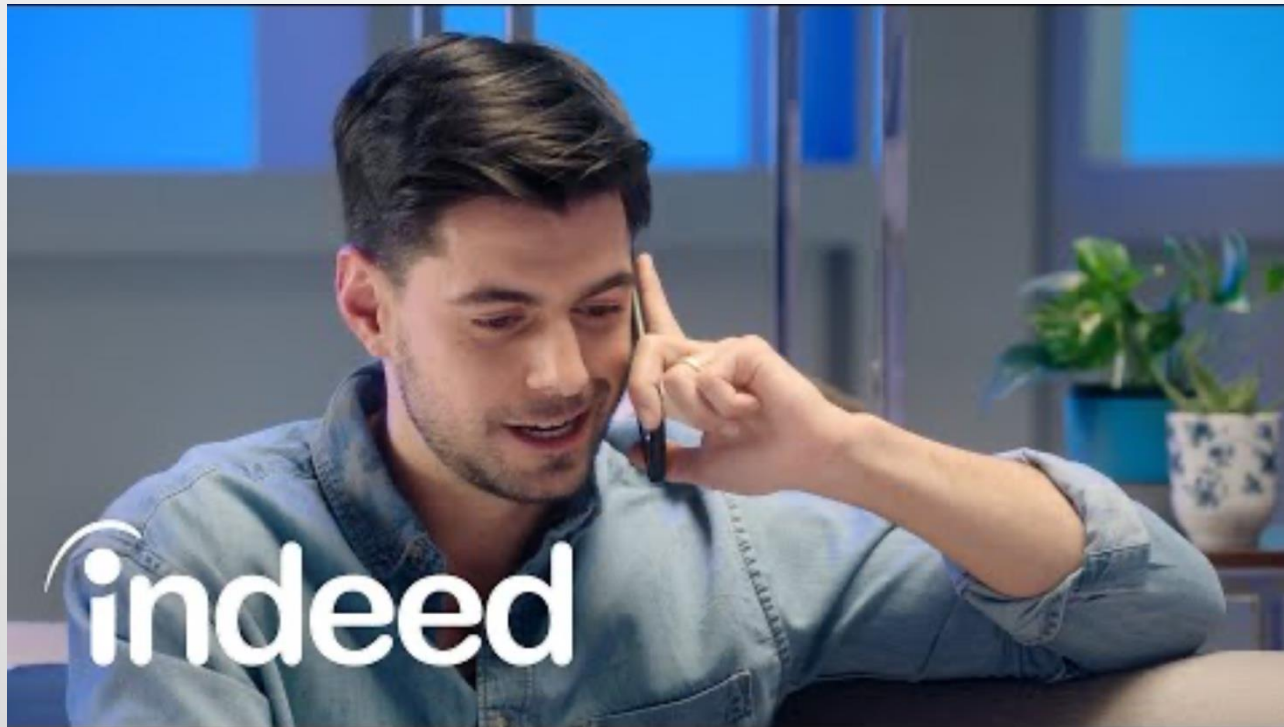


Exercise: The Job Negotiation.

Issues to be negotiated include...

- \$\$\$
 - Base Salary
 - Bonus
 - Medical benefits
 - Superannuation
- Time ranges:
 - Start date
 - Leave arrangements (i.e. Summer leave)
- Location/logistics:
 - Travel
 - Work from home option
 - Location of desk within the office
- Tuition costs for further study

Indeed on Negotiating Salary (Video 2)



Indeed Inc. (2015). How to Negotiate Salary: Asking for More Money After a Job Offer | Indeed. YouTube. https://www.youtube.com/watch?v=Xap454_Nq2g

Styles of Negotiation

1. “Open Book” negotiation

- What does this mean?
- What is required between the parties involved for this style of negotiation to work?

2. “Take it or leave it” style (seen earlier as an Exercise)

- What is involved in this situation?
- What factor is different between the parties involved?

3. Ambit Claims - Items being demanded (more next slide)

- items are included in a list of items to be demanded simply as leverage against the other party.
- Example 1: Union log of claims about work hours, break times etc
- Example 2: Trade agreements, Diplomat agreements.

Exercise: Ambit Claims and Consulting?

ambit claim 🌐 1 language ▾

[Entry](#) [Discussion](#) [Citations](#) [Read](#) [Edit](#) [View history](#) [Tools](#) ▾

English [\[edit \]](#)

Etymology [\[edit \]](#)

From *ambit* + *claim*.

Noun [\[edit \]](#)

ambit claim (*plural* **ambit claims**)

1. An *extravagant* initial *demand* made in expectation of an eventual *counteroffer* and *compromise*.

“We will do X for \$\$\$\$ on condition that you, the client, give us the next project + pay for XXXX + give us free accommodation/ travel + new hardware etc.

Why is this bad?

Image source: Wiktionary

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Styles of Negotiation

- What is the most important word to use in negotiations?
- Hint: It is a small word of two letters!

Exercise: The Fruit Market

- You are a small market stallholder selling fruit and vegetables and it is 11.45 am.
- The market closes in 15 minutes (12:00 noon).
- You have 20 melons left that are ripe and will not be good for sale by next market day, so you are keen to sell them.
- You paid \$20 for these melons; and you don't want to accept less than that.

The Hardest Question

- To be truly prepared to negotiate, anticipate questions you don't want to answer.
- Imagine being blindsided in the midst of a critical negotiation with a question like one of these:
 - A prospective funder and co-developer of your new invention asks: "What are your other offers?..."
 - "...Let's discuss them, and I'll see if I can help you make the right decision."
 - In fact, you have **no other offers**, and you suspect the other side knows it!

The Hardest Question – Responses

- Reinterpret a demand or ultimatum
 - Particularly in the take it or leave it style
- Reverse the burden
 - Incorporate intangibles (e.g., IP, patents...)
- Address the underlying concern
 - Family arrangement (e.g., for job negotiation scenario earlier)
- Rule out inappropriate topics
 - Race, religion, gender, etc

Decide clearly WHAT you will/not negotiate. Be prepared to say NO. Set CONDITIONS around problematic demands.

Emotions in Negotiations

Trust and emotions can play a big part in negotiations

Micro expressions / body language

- focus on your counterpart's face for at least four seconds after asking a question

Story Telling

- It's easier to control expressions when you're talking.
- So, **describe** what you want, or **share an anecdote** about another negotiating partner who shared concerns similar to theirs, and watch how they respond as they listen.
- Their guard will lower, and you can monitor reactions.
-  **Exercise: replay the Fruit Market scenario.**

Emotions in Negotiations

Present multiple options

- As you present a list of choices to negotiating partners, their micro expressions will reveal which they like and which they don't, sometimes even before they're consciously aware of their preferences.
- Watch closely to see what their face tells you about each option: e.g., displeasure, happiness, aggression
- Modify your options based on these expressions



Exercise:
what effect does anger 🤨 have in negotiations?

Neutrality in Negotiations

How do we remain neutral during negotiations?

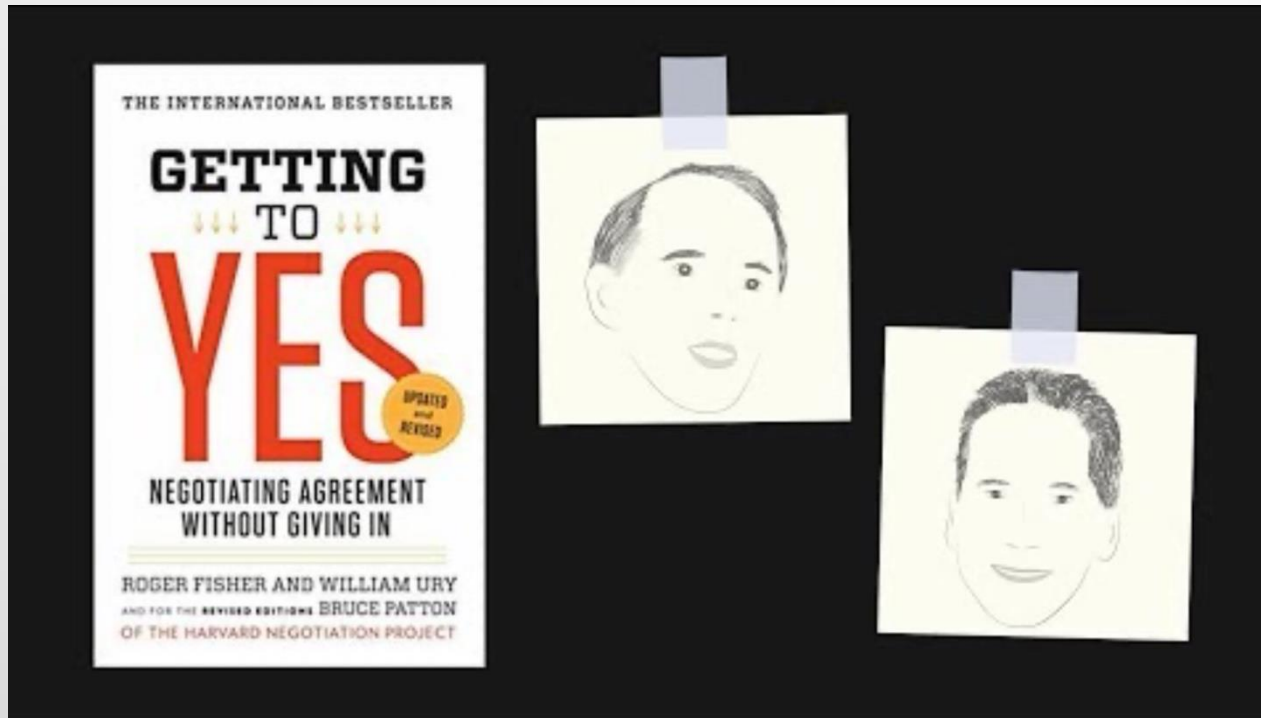
How can our gestures alter the dynamic?

- Intentionally
- Unintentionally

Examples:

- Shaking hands:
 - Monster Inc/Foundit Malaysia (2017). Monster Tips: Nailing the handshake. YouTube. <https://youtu.be/7AHZIkqmVLo>
- Sitting in your chair

Fisher and Ury on Negotiation Principles (Video 3)



Fisher, R., Ury, W., and Lozeron Academy LLC (2019). Negotiation Principles: GETTING TO YES by Roger Fisher and William Ury | Core Message. Productivity Game/YouTube. <https://www.youtube.com/watch?v=EKHg9H0G6go>

Negotiations gone wrong

Examples on the next few slides are credited to:

Shonk, K. (2015). Top Worst Negotiation Case Studies: Real Life Examples of Bargaining Gone Wrong. Program on Negotiation – Harvard Law School.

and

PON Staff (2026). Negotiation in Business: Apple and Samsung's Dispute Resolution Case Study. Program on Negotiation – Harvard Law School.

PROGRAM ON NEGOTIATION

HARVARD LAW SCHOOL



Image source: Chicago Cubs

<https://web.archive.org/web/20141214234554/http://m.cubs.mlb.com/news/article/103652288/free-agent-jon-lester-agrees-to-deal-with-chicago-cubs>

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Negotiations gone wrong (1/3)

The Red Sox Lose Jon Lester (Shonk, 2015)

- In the USA, Boston Red Sox is a popular baseball team.
- In 2014, Red Sox has “... spectacularly botched [the] opening offer in renegotiations with its star pitcher, Jon Lester”...
 - → “importance of crafting opening offers with care.”
- The Sox **offended** Lester: “random, lowball number (**\$70 million** over four years)”
- Lester went to their **competition**, the Chicago Cubs (**\$155 million** over six years)

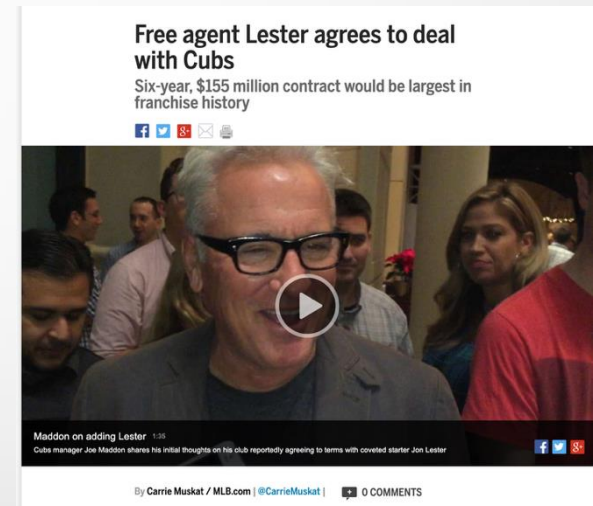


Image source: Chicago Cubs

<https://web.archive.org/web/2014121421234554/http://m.cubs.mlb.com/news/article/103652288/free-agent-jon-lester-agrees-to-deal-with-chicago-cubs>

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Negotiations gone wrong (2/3)

Satya Nadella's bad job advice (Shonk, 2015)

- Microsoft CEO Satya Nadella in 2015: “found himself in the hot seat in October after advising women attending a computing conference to wait for raises and promotions to come to them rather than negotiating for them directly”
 - Contradicts “**negotiation** research and advice”
 - Viewed as **discriminatory**/sexist (<https://www.businessinsider.com/microsoft-ceo-satya-nadella-apologizes-2014-10>)
- Nadella backtracked/apologised.

BUSINESS INSIDER

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ENTERPRISE

Microsoft CEO Satya Nadella On Equality In The Workplace: 'This Is A Real Issue That We Want To Make Real Progress On'

By Eugene Kim



Image source: Business Insider

<https://www.businessinsider.com/microsoft-ceo-satya-nadella-apologizes-2014-10>

Negotiations gone wrong (3/3)

Amazon's standoff with Hachette (Shonk, 2015)

- “publisher Hachette refused to meet its demands on e-book pricing”
- “Amazon played **hardball** by raising prices on Hachette titles, delaying their shipment, and engaging in other dirty tricks.”
- Result: “The retailer reportedly caved in the long run, but not after incurring negative publicity and harming writers, the unwitting pawns in a twisted game.”

▶ Exercise: Apple vs Samsung

From Harvard: “Negotiation in Business: Apple and Samsung’s Dispute Resolution Case Study” (PON Staff, 2026).

<https://www.pon.harvard.edu/daily/business-negotiations/apple-v-samsung-an-example-of-negotiation-in-business-gone-bad/>

Reflect on the case study and discuss what we’ve learnt today:

- Was it: (a) **Positive discussions** ... 👍
OR
(b) **awkward ...don’t really trust each other** 👎?
- Was it: (a) **“Open Book” negotiation** OR
(b) **“Take it or leave it” style**?
- Can you “reinterpret a demand or ultimatum” from either party?





Canvas: Discussion Exercise

Discussion exercise: Please see Ed Discussion for the full scenario background.



This scenario is adapted from a real case by Harvard professor, Deepak Malhotra, as reported in the Australian Financial Review.

Source: Malhotra, D. (2015). "4 ways to negotiate a good deal, before you even start". Australian Financial Review. <https://www.afr.com/work-and-careers/management/4-ways-to-negotiate-a-good-deal-before-you-even-start-20151130-glbmta>

Read this scenario and complete the reflective questions below:

"...co-founders of a tech venture walked into a **meeting with the CEO of a Fortune 100 company** who had agreed to invest \$10 million with them...

A week earlier, the parties had hammered out the investment amount and valuation, so the meeting was supposed to be celebratory more than anything else. ...

[In the current meeting] **The CEO was also there, but it soon became clear that he was not going to actively participate...**

As soon as the co-founders sat down, the bankers on the other side started to renegotiate the deal. **The \$10 million investment was still on the table, but now they demanded a much lower valuation;** in other words, the co-founders would have to give up significantly more equity. Their attempts to explain that an agreement had already been reached were to no avail...

Upset and confused, the co-founders quickly assessed their options. Accepting the new deal would hurt financially (and psychologically), but they'd get the \$10 million in needed funds. On the other hand, doing so would significantly undervalue what they brought to the table. **They decided to walk out without a deal...**"

That was a brave move indeed!

Discuss:

- What are the pros and cons of accepting vs declining the deal?
- Prof. Malhotra further added: "it would have been better not to let things go wrong in the first place". What do you think went wrong?
- What would you do in this scenario? Accept or decline?

Week 6: Summary

- Negotiations are inevitable in consulting projects
 - Aim to “win-win”
- Good faith and open discussion is key
 - Trust
 - Role of Emotions
- Success comes from clarity of understanding
 - Preparation, hard questions, the bottom line
 - Research and prepare!
 - Everyday practice

MOVING FORWARD: W7 shifts focus to communications.